



Risk Based Pricing Grid

Background

Risk-based pricing is a financial strategy used by lenders to determine the interest rates and terms of loans based on the perceived risk of the borrower. This approach allows lenders to offer different interest rates to different borrowers, aligning the cost of borrowing with the level of risk associated with each borrower. The primary goal is to manage and mitigate the risk of default while ensuring that borrowers with varying risk profiles have access to credit.

In the context of home finance, risk-based pricing takes into account several factors, including the borrower's credit history, employment status, income level, loan amount, and the type of loan product. By assessing these factors, lenders can offer competitive interest rates to low-risk borrowers while charging higher rates to those deemed higher risk. This not only helps in managing the lender's risk exposure but also promotes responsible borrowing and lending practices.

Purpose

Nivara Home Finance Limited ("Nivara/the Company") adopts a risk-based pricing approach while changing interest on the loans advanced to Borrowers. This framework offers different interest rates to different borrowers based on their employment status, type of loan product, and other factors. The goal is to align the interest rates with the level of risk associated with lending to each borrower.

Approach /Methodology adopted by Nivara Housing Finance Limited for charging interest rate from its borrowers

The interest rates on home loans generally dependent on interest rate cycle but it is common practice to notice that the home loan rates are influenced by the quantum of loan, tenor and the profile of borrowers. Increasingly, it is also noticed that the credit history background of the borrower has a greater impact on the home loan offerings, especially after the advent of credit information bureaus. Home loan rates also vary from lender to lender. Hence the factors which are considered for charging interest rate of the company are:

Cost of Funds: Periodic repo movements and their impact on the company's borrowing rate of interest.

Example: If the central bank increases the repo rate, the cost of borrowing for Nivara increases, which may lead to higher interest rates for borrowers.

Margin: Profit margin considerations.

Example: Nivara needs to maintain a certain profit margin to ensure sustainability and growth, which is factored into the interest rates.

Operating Costs: Expenses related to loan processing and management.



Example: Costs associated with loan origination, underwriting, and servicing are included in the interest rate calculation.

Regulatory Provision and Credit Loss: Compliance and potential credit losses.

Example: Provisions for bad debts and regulatory requirements impact the overall cost structure and interest rates.

Return on Equity: Expected returns for shareholders.

Example: Nivara aims to provide a reasonable return on equity to its investors, influencing the interest rates charged.

Risk Premium: Based on the gradation of risks of Nivara's customer segment in affordable housing, elaborated below.

Higher risk borrowers are charged a higher risk premium, resulting in higher interest rates.

Standard Pricing Grid: these are based on current rates which are

Product	Standard Rate of Interest (Maximum)
Home Loan (Housing Loan)	18.50%
Home Equity (Non-Housing Loan)	21.00%
Loan Against Property (LAP)	22.50%

Nivara offers both Housing Loans and Non-Housing Loans to customers. The rates of interest offered in Housing Loans are lower than those charged for Non-Housing loan transactions. In Housing Loans, the end use is monitored, i.e., the lender is aware of where the disbursed funds are being deployed. Since it gets utilized towards the betterment of the collateral, the asset value gets enhanced with the said deployment, thus entailing a lower risk. On the contrary, in Non-Housing Loans, the borrower can utilize the funds for purposes that might not enhance their income level or add value to the collateral. Since there is no mechanism to monitor the usage of the disbursed funds, it is perceived as a higher risk.

Customer Segments

Nivara also caters to customers who belong to the informal segment, i.e., customers who have earnings primarily in cash and not documented in recognized statements such as bank statements or income tax returns. While Nivara conducts credit bureau checks and reviews the credit and financial history of the customer, given the nature of the earnings, the same needs to be assessed based on internal guidelines followed by Nivara. Such income assessment is subjective in nature and might have variance in assessment. This is due to the fluctuating nature of incomes in Nivara's customer segment, such as those in professions like carpentry or plumbing, where engagement varies month to month. This contrasts with the understanding of income for individuals whose incomes are reflected through formal documents. A cheque salary customer has lower risk due to the predictability of cash flow. Higher income indicates better cash flow. Due consideration is given to key factors such as security cover, property location and condition, loan-to-value (LTV) ratio, and family income. A family with more income has better stability. Given that income assessment of customers belonging to the informal segment attracts elements of subjectivity, it is perceived to be riskier than a customer whose income assessment is specific and based on formal,



recognized documents. Nivara, keeping the above in context, charges a differential risk premium rate for its informal segment customers.

Interest Rate Breakdown

A. Cheque Salary - Single Applicant

Net Salary Credit per Month (Rs)	ROI (%)
>35k	13.5%
30-35k	14.5%
25-30k	15.5%
20-25k	16.5%
>15k	17.5%

Example: Mr. A earns a net salary of Rs. 40,000 per month. He applies for a home loan and, based on his salary bracket, he is offered an interest rate of 13.5%.

B. Cheque Salary – Combined

Income Slab	ROI (%)
>40k	14.5%
30-40k	15.5%
20-30k	17.5%

Example: Mr. and Mrs. B have a combined monthly income of Rs. 45,000. They apply for a home loan and, based on their combined income, they are offered an interest rate of 14.5%.

C. Self Employed

Average Bank Balance (ABB)*	ROI (%)
>100k	14.5%
75-100k	15.5%
50-75k	16.5%
25-50k	17.5%

*ABB means balance in a single bank account (MAB, monthly average bank balance will be calculated for a period of 12 months).

Example: Mr. C is a self-employed individual with an average bank balance of Rs. 120,000 over the past 12 months. He applies for a home loan and, based on his bank balance, he is offered an interest rate of 14.5%.